

FINANCIAL COMPLIANCE & EXPENSE POLICY

TechCore Industries Inc.

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Policy Owner: Chief Financial Officer (CFO)

Review Cycle: Annual

1. PURPOSE AND SCOPE

1.1 Purpose

The Financial Compliance & Expense Policy (hereinafter "Policy") of TechCore Industries Inc. (hereinafter "Company") establishes comprehensive guidelines, procedures, and controls for all financial transactions, expense reimbursements, and compliance requirements. This Policy aims to:

- Ensure compliance with all applicable financial laws, regulations, and accounting standards (GAAP, SOX, Dodd-Frank)
- Maintain transparency, accountability, and integrity in all financial activities
- Prevent fraud, misuse of company funds, and unauthorized transactions
- Establish clear approval hierarchies and segregation of duties
- Protect company assets and reputation

1.2 Scope

This Policy applies to:

- All employees, contractors, consultants, and temporary staff
- All vendors, third-party service providers, and business partners
- All departments and business units
- All financial transactions, purchases, and reimbursements

1.3 Policy Violations

Non-compliance with this Policy may result in:

- Formal written warnings
 - Suspension of approval authority
 - Mandatory retraining
 - Disciplinary action up to and including termination of employment
 - Legal action and recovery of misappropriated funds
 - Referral to law enforcement for criminal investigation
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2. EXPENSE CATEGORIES & SPENDING LIMITS

2.1 Travel Expenses

Airfare:

- Domestic Flights: Economy class mandatory for flights under 6 hours; Business class requires CFO pre-approval
- Maximum Airfare Cost: \$1,500 for domestic, \$3,500 for international
- Airline Upgrades: Not reimbursable
- Advance Booking Requirement: Flights must be booked minimum 14 days in advance when possible
- Budget Carrier Preference: Southwest, United, Delta, American Airlines preferred
- Non-refundable Tickets: Company not liable for cancellation fees if employee fails to cancel within 48 hours

Hotel Accommodations:

- Nightly Rate Limit: \$200 (major cities), \$150 (standard markets), \$100 (rural areas)
- Standard Room Only: Suite upgrades not reimbursable unless rate is within limit
- Hotel Star Rating: 3-4 star hotels only (no luxury brands like Four Seasons, Ritz Carlton)
- Extended Stays (7+ nights): Requires department head approval; discounted weekly rates mandatory
- Non-Covered Items: Minibar, movies, spa services, parking (valet only if no lot available, max \$25/day)

Ground Transportation:

- Taxi/Rideshare: \$75 maximum per trip; Uber/Lyft preferred over taxi; no premium services (UberX only, not Uber Black)
- Rental Cars: Mid-size or smaller; full-size requires Director approval; no luxury vehicles
- Personal Vehicle Mileage: \$0.67 per mile (IRS standard rate)
- Parking & Tolls: Fully reimbursable with receipts
- Public Transportation: Use required when available in city; reimbursable in full

Meals & Entertainment:

- Breakfast: \$18 maximum (personal) / \$35 maximum (with clients)
- Lunch: \$25 maximum (personal) / \$60 maximum (with clients)
- Dinner: \$40 maximum (personal) / \$100 maximum (with clients)
- Coffee/Snacks: \$8 maximum per day
- Alcoholic Beverages: Reimbursable only with client/customer present; \$15 limit per person
- Meal Frequency: Maximum 1 meal per 8-hour period reimbursable
- No-Show Penalties: Employee responsible if reservation cancelled after 24 hours

Conference & Training:

- Registration Fees: Fully reimbursable with pre-approval (VP level or above)
- Conference Materials: Books, workbooks covered up to \$200
- Continuing Education: Professional certifications covered if job-related; pre-approval required
- Tuition Reimbursement: Maximum 50% of course cost; GPA 3.0+ required for continued eligibility

2.2 Office Supplies & Equipment

Supplies Budget:

- Monthly Allocation: \$500 per department for shared supplies
- Individual Items: \$50 maximum without manager approval
- Bulk Purchases: \$300+ requires CFO approval
- Approved Vendors: Staples, Office Depot, Amazon Business only

Technology & Equipment:

- Laptops: \$1,500 maximum; pre-approval required (CIO sign-off)
- Mobile Devices: \$800 maximum for smartphones; \$1,200 for tablets
- Monitors/Peripherals: \$300 maximum per item; bundled purchases require approval

- Software Subscriptions: Require CTO approval; no personal software; 3-year license maximum
- Replacement Cycle: Technology replaced minimum 3 years after purchase (unless hardware failure)

2.3 Client & Business Development

Client Entertainment:

- Meal Budget: \$100 per person per occasion (max 4 attendees per meal without VP approval)
- Golf Outings: \$200 per person maximum; requires VP approval
- Event Tickets: \$250 per person for sports/entertainment; Director approval required
- Gifts to Clients: \$50 maximum per client per year; no cash gifts
- Holiday Gifts to Employees: \$30 maximum per employee; pre-approved items only

Business Meals (Team Building):

- Team Lunch/Dinner: Approved maximum \$40 per person (no alcohol)
- Frequency: Maximum 1 per quarter per team
- Documentation: List of attendees and business purpose required

2.4 Telecommunications

Mobile Phone Plans:

- Company-Paid Plans: \$60 maximum per month (unlimited calling/data)
- Personal Device Reimbursement: \$30 maximum per month (BYOD program)
- International Roaming: \$5/day approved; employee liable for usage overages

Internet & Connectivity:

- Home Office Internet: \$50 maximum per month (if approved for remote work)
- VPN/Security: Fully covered; no personal VPN subscriptions
- Phone Systems: PBX/VoIP standard; no premium features

2.5 Non-Reimbursable Expenses (EXPLICIT PROHIBITIONS)

The following expenses are STRICTLY NON-REIMBURSABLE under all circumstances:

- Personal clothing and accessories (unless company uniform)
 - Haircuts, grooming, spa, or fitness services
 - Personal vehicle fuel/maintenance/repairs (except documented business mileage)
 - Parking violations, traffic tickets, towing fees
 - Childcare or elder care services
 - Pet care or veterinary services
 - Personal development (yoga, meditation apps, unless HR-approved wellness program)
 - Commuting expenses (home-to-office)
 - Unauthorized insurance or liability coverage
 - Loans or cash advances for personal use
 - Gambling, casinos, betting (including DraftKings, FanDuel)
 - Cannabis and controlled substances
 - Religious or political contributions
 - Charitable donations (personal)
 - Home office furniture (personal desk, chair) without explicit CFO approval
 - Personal entertainment (movies, streaming services, books for personal use)
 - Traffic school or driver's license renewal
 - Bail or legal fees
 - Wedding, baby shower, or personal celebration expenses
 - Courtesy/thank you gifts not pre-approved
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3. AUTHORIZATION & APPROVAL HIERARCHY

3.1 Approval Thresholds

Transaction Amount	Approver	Authority Level	Notification
\$0 - \$500	Direct Manager	Level 1	Email receipt
\$501 - \$2,500	Department Director	Level 2	Email approval
\$2,501 - \$10,000	VP of Department	Level 3	Written memo

\$10,001 - \$50,000	CFO	Level 4	Board notification
\$50,001+	CEO + Board Committee	Level 5	Board minutes

3.2 Segregation of Duties

MANDATORY SEPARATION OF DUTIES:

- Employee requesting reimbursement ≠ Approving manager
- Approving manager ≠ Finance processor
- Finance processor ≠ Payment authorizer
- Payment authorizer ≠ Reconciliation auditor

Violation Consequence: All transactions involving segregation of duty violation must be re-submitted with compliant approval chain

3.3 Exceptions & Escalations

- Exception Requests: Require written justification + CFO approval + documentation
- One-Time Exceptions: Recorded in policy exception log
- Pattern Exceptions: Flagged as potential policy violation
- Emergency Approval: CFO or CEO verbal approval acceptable; email confirmation required within 24 hours

4. DOCUMENTATION & RECEIPT REQUIREMENTS

4.1 Required Documentation

ALL expenses require:

- Original itemized receipts (screenshots not acceptable; exceptions approved by CFO only)
- Date of transaction
- Merchant/vendor name and location
- Item description
- Business purpose statement (minimum 25 words)

- Employee name and department
- Project/cost center code
- Approver signature or email authorization

Travel Expenses Specifically:

- Boarding pass or flight itinerary
- Hotel confirmation and receipt showing nightly rate
- Rental agreement (if applicable)
- Conference agenda or registration confirmation
- Meeting notes or contact information of business attendee

4.2 Receipt Submission Timeline

- Standard Expenses: Within 30 days of transaction
- Travel Expenses: Within 45 days of return
- Late Submissions: Subject to manager discretion; no reimbursement after 90 days
- Missing Receipts: Affidavit required (notarized if >\$100)

4.3 Receipt Storage & Retention

- Electronic Storage: All receipts uploaded to company expense management system
 - Retention Period: Minimum 7 years for compliance audit
 - Backup Storage: Finance maintains copies in secure archive
 - Personal Retention: Employees must retain copies for 2 years
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5. VENDOR & SUPPLIER CONTROLS

5.1 Approved Vendor List

- Purchases must be from Company-approved vendor list
- Unauthorized vendor approval requires Director-level sign-off
- Vendor evaluation: minimum 3 competitive quotes for purchases >\$5,000
- Price comparison mandatory; lowest cost preferred unless documented business justification

5.2 Conflict of Interest

Prohibited Activities:

- Employee or family member receiving personal benefit from vendor relationship
- Employee ownership stake in vendor (>1% equity forbidden)
- Preferential treatment for vendors offering kickbacks, rebates, or personal gifts
- Employee steering business to vendor for commission/benefit

Disclosure Requirement: Employees must disclose any family or financial relationships with vendors annually

5.3 Vendor Due Diligence

- Vendor must pass due diligence (tax ID verification, background check, credit check for >\$50K contracts)
 - OFAC sanctions check for international vendors
 - W-9/W-8BEN form completion required
 - Bank account verification before ACH/wire transfer
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6. PAYMENT PROCESSING & CONTROLS

6.1 Invoice Approval Workflow

1. Invoice Receipt: Finance logs all incoming invoices with timestamp
2. Three-Way Match: Invoice amount matches PO + Receipt + Delivery (100% verification required)
3. Approval: Per threshold hierarchy (Section 3.1)
4. Payment Processing: Finance releases payment within 48 hours of approval
5. Verification: All payment details verified before processing
6. Recording: Transaction posted to GL same day with supporting documentation

6.2 Payment Methods

Approved Payment Methods:

- Corporate Credit Card: Primary method; monthly reconciliation required
- ACH Transfer: For recurring vendors; pre-authorized accounts only
- Wire Transfer: For international vendors; requires dual authorization + approval
- Check: For vendors without electronic payment capability; CFO counter-signature required
- PayPal/Venmo: Prohibited for business payments

Forbidden Payment Methods:

- Cash (except per diem travel advances <\$200)
- Cryptocurrency/Bitcoin
- Gift cards (except pre-approved client gifts)
- Wire to personal accounts

6.3 Duplicate Payment Prevention

- Automated Controls: System flags duplicate invoice numbers, amounts, and dates within 90 days
 - Manual Review: Finance reviews all flagged items before payment
 - Vendor Confirmation: Large invoices (>\$10K) confirmed with vendor before payment
 - Reconciliation: Monthly credit card and bank reconciliation (completed within 5 business days)
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7. CREDIT CARD & CORPORATE CARD POLICY

7.1 Corporate Card Administration

- Cardholder Limit: \$5,000/month individual limit
- Daily Limit: \$2,500 maximum per transaction
- Card Issuance: Requires CFO approval + employee eligibility verification
- Inactive Cards: Suspended after 90 days no-usage
- Card Termination: Upon employment termination; immediate card cancellation

7.2 Prohibited Corporate Card Use

- Cash advances (ATM withdrawals, casino cashiers)
- Personal purchases and entertainment
- Payments to employees or contractors (no payroll advance cards)
- Gambling, adult entertainment, or illegal services
- Fuel for personal vehicles
- Purchases at unauthorized merchants

7.3 Corporate Card Reconciliation

- Monthly Statement Review: Manager reconciliation within 10 days of statement
- Personal Expenses: Transferred from employee personal account within 30 days

- Disputed Charges: Reported within 60 days; late disputes not eligible for reversal
 - Lost/Stolen Cards: Reported immediately; employee liable for unauthorized charges until reported
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8. REIMBURSEMENT PROCESS

8.1 Expense Report Submission

1. Report Preparation: Employee submits via approved system (NetExpense platform)
2. Documentation Attachment: All receipts scanned and uploaded
3. Itemization: Line-item detail required; no "miscellaneous" category
4. Certification: Employee certifies expenses are accurate and business-related
5. Manager Review: Manager approves/rejects within 5 business days
6. Finance Processing: Finance verifies compliance and processes within 5 business days
7. Payment: Direct deposit within 3-5 business days of approval

8.2 Reimbursement Timeline

- Standard Reimbursement: 7-10 business days from submission
- Expedited Reimbursement: 2 business days (requires Director approval; \$50 expedite fee charged to department)
- Denied Expenses: Finance notifies employee within 3 business days with specific reason

8.3 Advance Payments

- Travel Advance: Up to 50% of estimated trip cost; issued 5 business days before travel
 - Maximum Advance: \$5,000 per trip
 - Reconciliation: Must reconcile within 30 days of travel completion
 - Excess Advance: Employee repays overage via paycheck deduction or personal check
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9. PURCHASE ORDER & PROCUREMENT

9.1 Purchase Order Requirements

PO Required for:

- All purchases >\$1,000
- Recurring vendor subscriptions >\$500/year
- Professional services (legal, consulting, design)
- Bulk supplies and equipment

PO Exceptions (No PO Needed):

- Purchases <\$500 (individual transactions)
- Utility bills and insurance premiums
- Payroll and employee benefits
- Emergency purchases (PO issued retroactively within 24 hours)

9.2 Competitive Bidding

- \$5,000 - \$25,000: Minimum 2 competitive quotes required
- \$25,001 - \$100,000: Minimum 3 competitive quotes required
- \$100,001+: Formal RFP process; board approval required
- Sole Source: Documented business justification required if single vendor

9.3 Rush/Emergency Purchases

- Definition: Purchases needed within 48 hours for business continuity
 - Approval: VP level approval required
 - Documentation: Business justification memo required (minimum 100 words)
 - Limit: Maximum \$10,000 per emergency; maximum 4 per quarter per department
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10. FIXED ASSET & CAPITALIZATION POLICY

10.1 Asset Capitalization Threshold

- Capitalization Limit: \$2,500 minimum
- Below \$2,500: Expensed immediately (not capitalized)
- Above \$2,500: Capitalized to Fixed Assets GL account
- Bundled Assets: Individual components valued <\$2,500 = expense; combined >\$2,500 = capitalized

10.2 Asset Depreciation

Asset Category	Useful Life	Depreciation Method
Computer Equipment	3 years	MACRS
Office Furniture	7 years	Straight-line
Vehicles	5 years	MACRS
Building Improvements	15-39 years	Straight-line
Software Licenses	1-3 years	Straight-line

10.3 Asset Disposal & Salvage

- Disposal Approval: >\$5,000 asset disposal requires CFO approval
 - Gain/Loss Tracking: Finance records all asset disposals in GL
 - Salvage Value: Estimated when asset purchased; updated annually
 - Donation: Non-operational assets may be donated (requires CEO approval); tax deduction claimed
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11. COMPLIANCE & INTERNAL CONTROLS

11.1 Monthly Financial Reconciliation

Required Reconciliations:

- Bank account (within 5 business days of statement)
- Credit card accounts (within 10 business days of statement)
- GL accounts (within 15 business days of month-end)
- Intercompany accounts (within 20 business days of month-end)

Reconciliation Standards:

- 100% matching of transactions required (no estimates)
- All reconciling items resolved within 60 days
- Unexplained discrepancies >\$500 escalated to CFO immediately
- Reconciliation sign-off by reconciler and reviewer

11.2 Internal Audit & Monitoring

Quarterly Audit Review:

- Random sampling of 25-50 expenses per quarter (5% of transactions)
- Verification of receipt documentation
- Compliance with policy thresholds and approval
- Categorization accuracy

Red Flags for Investigation:

- Missing receipt or incomplete documentation
- Policy limit exceeded
- Approval hierarchy not followed
- Unusual merchant category or purchase pattern
- High-frequency transactions near threshold limits
- Duplicate invoices
- Round-dollar amounts or suspicious timing
- Out-of-policy vendors

11.3 Annual Compliance Certification

- Requirement: All managers certify compliance with policy annually
- Scope: Review all subordinate expenses for preceding fiscal year
- Attestation: Written certification signed by manager
- Non-Compliance Report: Any violations reported to CFO with corrective action plan

11.4 Policy Training & Acknowledgment

- Initial Training: Required for all new hires (within 30 days of employment)
- Refresher Training: Annual mandatory training (compliance requirement)
- Acknowledgment Form: Employees sign policy acknowledgment annually
- Documentation: Training records maintained by HR (7-year retention)
- Non-Completion: Denial of reimbursement until training completed

12. FRAUD PREVENTION & WHISTLEBLOWER POLICY

12.1 Fraud Definition

Intentional Misconduct Includes:

- Submitting false or inflated expense claims
- Altering receipts or invoices
- Claiming personal expenses as business expenses
- Duplicate reimbursement requests
- Creating fictitious vendors or transactions
- Misappropriating company funds or assets
- Kickbacks or undisclosed conflicts of interest

12.2 Fraud Investigation Procedures

1. Report: Suspected fraud reported to CFO or ethics hotline (anonymous option available)
2. Initial Assessment: CFO determines if investigation warranted (within 5 days)
3. Investigation: Finance and potentially external auditor conduct investigation
4. Interim Actions: Employee access suspended during investigation if warranted
5. Finding: Investigation completed within 30 days
6. Resolution: Disciplinary action or law enforcement referral based on findings

12.3 Whistleblower Protection

- Anonymous Reporting: Employees may report anonymously via ethics hotline
- Non-Retaliation: No retaliation against good-faith reporters
- Investigation Confidentiality: Investigation details kept confidential as much as legally possible
- Hotline: ethics@techcore.com or 1-855-COMPLY-1

12.4 Consequences for Fraud

- Minor Violations: Formal warning + mandatory retraining
 - Significant Fraud: Termination of employment + recovery of fraudulent amounts
 - Felony Fraud: Termination + criminal referral to law enforcement + civil action for recovery
 - Record: Violation recorded in employee file (permanent)
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13. TRAVEL POLICY SPECIFICS

13.1 Pre-Travel Requirements

- Approval Timeline: Travel must be approved minimum 14 days before departure
- Travel Authorization Form: Submitted with estimated budget breakdown
- Attendance Verification: If conference travel, must provide agenda and attendance confirmation
- Itinerary: Flight/hotel/meeting details submitted before departure

13.2 International Travel

Additional Requirements:

- Passport validity check (minimum 6 months beyond return date)
- Visa requirements identified and obtained before departure
- Travel insurance purchased for trips >\$5,000 (Company covers cost)
- International healthcare/emergency contact information provided
- Customs/OFAC compliance verified for restricted countries

International Spending Limits:

- Airfare increased to \$3,500 maximum
- Hotel rate increased to \$300 maximum
- Meals increased 25% above domestic limits
- Currency conversion charges reimbursable (original receipt + conversion receipt required)

13.3 Traveler Safety & Compliance

- Taxi/Car Service: Use only licensed services; Uber/Lyft in verified safe cities only
- Hotel Check-In: Manager notification required upon arrival
- Contact Protocol: Employee maintains contact with manager during travel
- Solo Travel: Female employees required to use hotel safe for valuables
- Travel Companion: Partner travel encouraged for trips to high-risk countries

14. POLICY EXCEPTIONS & AMENDMENTS

14.1 Exception Request Process

1. Request Submission: Email to CFO with:
 - Exception reason and business justification
 - Policy section being excepted
 - One-time vs. ongoing exception

- Estimated impact and timeline
- 2. Review: CFO reviews within 5 business days
- 3. Approval: CFO decision documented with reasoning
- 4. Logging: All approved exceptions recorded in exception log
- 5. Communication: Decision communicated to requestor within 2 business days

14.2 Policy Amendment Process

- Review Frequency: Annual review (December)
 - Proposed Changes: Submitted by CFO or department heads
 - Stakeholder Input: Finance, HR, Legal review proposed changes
 - Approval: CEO + CFO approval required
 - Communication: 30 days notice before new policy effective date
 - Training: Mandatory training on policy amendments before effective date
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15. GLOSSARY & DEFINITIONS

Term	Definition
Business Purpose	Transaction conducted primarily for company business; personal benefit is incidental
Compliance	Adherence to all requirements of this Policy and applicable laws
Cost Center	Department/project code assigned to track expenses by business unit
Non-Reimbursable	Expense that company will not reimburse under any circumstances
Pre-Approval	Written or email authorization before expense is incurred
Per Diem	Fixed daily allowance for meals/incidentals during travel
Segregation of Duties	Separation of authorization, execution, and reconciliation functions
Three-Way Match	Verification that PO, invoice, and receipt amount/details match exactly

Threshold	Dollar amount at which different approval level required
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APPENDIX A: POLICY ACKNOWLEDGMENT FORM

EMPLOYEE POLICY ACKNOWLEDGMENT

I, _____ (Employee Name), acknowledge that I have received, read, and understood the Financial Compliance & Expense Policy of TechCore Industries Inc.

I understand that:

- This policy applies to all financial transactions I conduct on behalf of the company
- Violations may result in disciplinary action up to and including termination
- I am responsible for maintaining compliance with all provisions
- False or misleading expense claims constitute fraud
- I must submit original receipts and documentation for all expenses
- Reimbursement is not guaranteed for non-compliant expenses

I certify that I will comply with this policy in all my financial transactions and expense submissions.

Employee Signature: _____ Date: _____

Manager Signature: _____ Date: _____

HR Verification: _____ Date: _____

APPENDIX B: EXPENSE CATEGORY REFERENCE TABLE

Category	Limit	Requires Receipt	Requires Approval	Non-Reimbursable Items
Airfare	\$1,500/\$3,500 intl	Yes	Yes (>\$500)	Upgrades, seat selection

Hotel	\$200/\$300 intl	Yes	Yes (>\$1,000)	Minibar, spa, movies
Meals	\$40-\$100	Yes	Yes (>\$100)	Personal entertainment
Ground Transport	\$75/trip	Yes	Yes (>\$100)	Personal vehicle fuel
Office Supplies	\$500/month dept	Yes	Yes (>\$300)	Personal items
Software	Varies	Yes	Yes (CTO)	Personal licenses
Entertainment	\$100-\$250	Yes	Yes (>\$250)	Gambling, sports betting

END OF POLICY DOCUMENT

This policy is effective immediately and supersedes all previous financial policies. Questions should be directed to the CFO or Finance Department.